

# Pugh Clauses

Contractual and statutory. Oklahoma and Texas. Horizontal and vertical, rolling and snapshot.

## The one thing people get wrong

A Pugh clause breaks a lease into parts, so that production on one part does not hold the whole lease past the primary term. Two leases can both say "Pugh clause" and behave in opposite ways. The version that matters most in the field is not whether a lease has a Pugh clause, but whether it tests the acreage **once** or on a **rolling** basis. A well going off production does not always release the acreage around it. You have to read the clause.

## What a Pugh clause does

Without a Pugh clause, a single unit well, or a small pooled unit, can hold every acre and every depth the lease covers for as long as that one well produces. The clause lets the undeveloped acreage, or the deeper formations, fall away and return to the mineral owner. It is named for Lawrence G. Pugh, a Louisiana lawyer who wrote the first version in 1947. A lessor wants one so a small amount of production cannot tie up a large lease. An operator resists it, or seeks the narrowest version, because it forces continued drilling or a release.

## The two directions

| Type                                | What it releases                                                                                                                                                                                                                                |
|-------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Horizontal Pugh</b><br>(acreage) | At the end of the primary term, the lease terminates as to all acreage outside the producing or pooled unit. The owner gets back the land that is not actually being developed, while the unit acreage stays held.                              |
| <b>Vertical Pugh</b><br>(depth)     | The lease terminates as to depths or formations below, or outside of, the producing interval, commonly everything deeper than a set distance below the deepest producing zone. The owner gets back the deep rights that are not being produced. |

## Rolling versus snapshot, and the mistake people make

This is the part of a Pugh clause that gets read wrong the most. A snapshot Pugh, sometimes called a one-time Pugh, tests the acreage at a single moment. That moment is usually the end of the primary term, or a set time after a continuous-development program ends. Whatever is held or producing at that moment is retained. Whatever is not is released, one time. After that snapshot passes, the retained acreage does not keep falling away if a well later stops. It is held by the rest of the lease.

A rolling Pugh, sometimes called a continuous Pugh, runs the test over and over. Each time operations or production stop on a part of the lease after the primary term, that part can release at that time.

Texas leans snapshot. Texas courts generally presume a one-time test unless the lease clearly calls for repeated evaluations, so in Texas you should read a Pugh clause as a snapshot unless the language plainly says the test repeats.

### THE MISTAKE IN THE FIELD

Say a lease has three producing wells. Five years in, two of them quit and one keeps producing. People see a Pugh clause, see two wells down, and treat that acreage as released. Under a snapshot Pugh that already ran its test, that is wrong. If all three were held at the snapshot, all three stay held, and the two that later quit do not fall off. Under a rolling Pugh it could be right, because the test runs again when they stop. You cannot tell which from the word "Pugh." Read the clause closely.

|                                    | Snapshot (one-time)                                                                                  | Rolling (continuous)                                                             |
|------------------------------------|------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------|
| <b>When the test runs</b>          | Once, at a set moment: the end of the primary term, or a set time after continuous development ends. | Again and again, each time operations or production stop after the primary term. |
| <b>What is retained</b>            | Whatever is held or producing at that one moment.                                                    | Only what is producing or being operated at any given later time.                |
| <b>A retained well later stops</b> | The acreage stays held. The lease's other terms govern; the Pugh does not lop it off again.          | That acreage can release when the well stops.                                    |
| <b>Texas default</b>               | <b>Presumed</b> , unless the lease clearly calls for repeated tests.                                 | Must be written clearly to get this result.                                      |

## Oklahoma has a statutory Pugh clause

Oklahoma is one of the few states that writes a horizontal Pugh clause into the statute, so it applies even when the lease itself has none. Under 52 O.S. § 87.1(b), where the Corporation Commission has created a drilling and spacing unit of 160 acres or more, no leasehold interest outside that spacing unit may be held by production from the unit for more than 90 days beyond the end of the primary term. The outside acreage releases by operation of law. The provision has been in force since 1977. It works like a snapshot tied to the end of the primary term, not a rolling test.

| The statutory Pugh clause  | Detail                                                                                                                                                                  |
|----------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Where it comes from</b> | 52 O.S. § 87.1(b), effective 1977.                                                                                                                                      |
| <b>What it releases</b>    | Leasehold acreage outside the spacing unit.                                                                                                                             |
| <b>The trigger</b>         | A spacing unit of 160 acres or more, held by production from that unit, past 90 days beyond the primary term.                                                           |
| <b>What it does not do</b> | It does not release acreage inside the unit, does not sever depths, and does not reach spacing units smaller than 160 acres. It only bites after the primary term ends. |

### WHY A CONTRACTUAL PUGH STILL MATTERS IN OKLAHOMA

The statute is narrow, so a negotiated Pugh clause still does real work. It can reach spacing units smaller than 160 acres, sever deep rights that the statute never touches, and set a tighter release than the 90-day statutory window. On acreage that is not in a 160-acre-or-larger unit, the statutory clause offers no help at all.

## Texas has no statutory Pugh clause

Texas does not provide a statutory Pugh clause. If a Texas lease has a pooling clause and the operator pools even a small part of the tract into a producing unit, production from that unit can hold the entire lease past the primary term. The only

reliable way to sever undeveloped acreage or deep rights in Texas is to negotiate a Pugh clause into the lease. Because Texas has no statute, whether the clause is snapshot or rolling is decided entirely by the words on the page, and the Texas default reading is snapshot. Texas landowners often pair a Pugh clause with a continuous-development or retained-acreage clause to force ongoing drilling or a release.

## Worked examples

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Assume a section is 640 acres, so a lease covering three sections is about 1,920 acres.

### 1. One well, an 80-acre unit, a three-section lease

The operator drills one well and it holds an 80-acre unit. With no Pugh clause, that single 80-acre well can hold all 1,920 acres past the primary term. With a Pugh clause, at the end of the primary term the lease is held only as to the 80-acre unit, and the other 1,840 acres return to the mineral owner. Oklahoma's statute does not help here, because the unit is under 160 acres, so the release only happens if the lease has its own Pugh clause. Texas has no statute at all, so there too it takes a clause in the lease.

**Result:** held 80 acres, released 1,840 acres, and only if the lease carries a Pugh clause. The Oklahoma statute does not reach a unit this small.

### 2. One well, a 160-acre unit, a three-section lease

Same three-section lease, but this time the one well holds a 160-acre unit. With a Pugh clause, the lease keeps the 160-acre unit and the other 1,760 acres release. In Oklahoma, because the unit is 160 acres, the statutory Pugh under § 87.1(b) releases the outside acreage by operation of law about 90 days after the primary term, even if the lease has no clause of its own. In Texas there is still no statute, so it takes a Pugh clause in the lease to get the same release.

**Result:** held 160 acres, released 1,760 acres. In Oklahoma the statute does this once the unit is 160 acres; in Texas the lease has to.

### 3. Three wells, then two stop: rolling versus snapshot

A lease covers three units, each with a producing well, and the primary term has ended. Two of the wells quit and one keeps producing. Under a snapshot Pugh that tested at the end of the primary term, all three units were held at that moment, so all three stay held. The two that later quit do not fall off, because the lease continues to hold that acreage under its other terms. Under a rolling Pugh, the two units release when their wells stop, and only the unit with the producing well stays held.

**Result:** same facts, opposite outcomes. The clause language, not the word "Pugh," decides it, and in Texas the snapshot reading is the default.

## Notes for lease and title work

| Topic                       | Note                                                                                                                                                                                                                                             |
|-----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Read the lease first</b> | Check whether the lease has a Pugh clause and whether it is horizontal, vertical, or both. The clause language controls over any rule of thumb.                                                                                                  |
| <b>Rolling or snapshot</b>  | Decide whether the clause tests the acreage once or on a rolling basis. In Texas, assume snapshot unless the lease clearly says the test repeats. A well going off production after the test does not release snapshot acreage.                  |
| <b>Oklahoma acreage</b>     | For land held by a unit well, check the spacing unit size and the primary-term date. If the unit is 160 acres or more, acreage outside it should have released 90 days after the primary term under § 87.1(b), even with no clause in the lease. |
| <b>Depths</b>               | Neither the Oklahoma statute nor a horizontal Pugh clause releases deep rights. Look for a separate vertical or depth clause if the deep formations are the question.                                                                            |
| <b>Texas acreage</b>        | Assume undeveloped acreage and deep rights stay held unless the lease has an express Pugh clause. Do not rely on any statute to release them.                                                                                                    |

This reference is prepared for use by landmen and title professionals as a working field tool. It is not legal advice and does not substitute for the advice of qualified oil and gas counsel. Doctrines and statutes change and turn on the exact language of each instrument and the facts of each chain of title. The examples are simplified to show how a Pugh clause works and are not a prediction about any particular lease. Confirm any conclusion against the current statutes and case law, and refer complex or disputed matters to a licensed attorney in the state involved. Citations are to 52 O.S. § 87.1(b) and general oil and gas lease authority.